

Apple Inc.

AAPL

Technology

RATING	PRICE	TARGET
Outperform	\$270.17	\$287.00

MARKET CAP \$3,966.40B	P/E (FWD) 34.1x	P/B RATIO 51.79x
ROE 151.9%	DIV. YIELD 0.38%	52W RANGE \$193.25 - \$288.62

Investment Thesis

“ Apple Inc. demonstrates steady top-line growth with revenue expanding at a 3.3% CAGR toward an estimated \$482 billion by 2027, supported by consistently expanding contribution margins approaching 50%. While EBITDA generation remains robust at \$144 billion in 2025 with forward estimates projecting meaningful margin expansion to 44.8% by 2027, the company trades at a premium EV/EBITDA multiple of approximately 27x relative to peers Google and Microsoft, reflecting the market's confidence in its ecosystem durability. With EPS on a steady upward trajectory from \$7.49 in 2025 to an estimated \$8.93 by 2027 and disciplined SG&A management driving operating leverage, Apple remains a high-quality compounder albeit at a valuation that leaves limited margin of safety relative to its peer group.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has grown into a global technology leader with a market capitalization consistently ranking among the largest in the world.

Apple operates a tightly integrated business model built around the design, development, and sale of consumer electronics, software, and digital services. Its core hardware product lineup includes the iPhone, which remains the primary revenue driver, alongside the Mac computer line, iPad, Apple Watch, and AirPods. Complementing its hardware ecosystem, Apple has aggressively expanded its Services segment, which encompasses the App Store,

Apple Music, Apple TV+, iCloud, Apple Pay, and Apple Care. This services business has become an increasingly important contributor to margins and revenue stability, helping offset the cyclical nature of hardware sales.

From a market position standpoint, Apple commands a premium brand identity and deep customer loyalty, supported by its proprietary operating systems including iOS, macOS, and watchOS. This ecosystem lock-in creates significant switching costs and drives recurring revenue. Apple competes directly with Alphabet, Microsoft, Samsung, and a range of other technology and consumer electronics firms across its various business lines.

Financially, Apple has demonstrated resilient performance over the review period. Revenue grew from approximately 366 billion dollars in fiscal 2021 to 416 billion dollars in fiscal 2025, representing a compound annual growth rate of 3.3 percent. After a modest contraction of 2.8 percent in fiscal 2023, growth has resumed, with fiscal 2025 delivering a 6.4 percent increase. Contribution margins have expanded consistently, rising from 41.8 percent in 2021 to 46.9 percent in 2025, reflecting the growing mix of higher-margin services revenue. EBITDA grew to approximately 144 billion dollars in fiscal 2025, though Apple's EBITDA margin of 34.7 percent trails forward estimates that project meaningful expansion toward 44.8 percent by 2027 as operational efficiencies materialize and SG&A margins compress from 6.6 percent to an estimated 5.1 percent.

On a relative basis, Apple's EV/EBITDA multiple of approximately 27 times in 2025 sits at a premium to Alphabet's 21 times but is broadly comparable to Microsoft. Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with forward estimates projecting continued growth toward 8.93 dollars by 2027, supported by ongoing share buybacks and margin improvement. Apple remains a fundamentally strong franchise with durable competitive advantages and a credible path to sustained earnings growth.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue reaching **\$416.2 billion**, representing **6.4%** growth and a meaningful acceleration from the modest **2.0%** expansion recorded in fiscal 2024. Earnings per share climbed to \$7.49, up from \$6.11 in the prior year, reflecting disciplined cost management alongside top-line momentum. EBITDA grew to **\$144.4 billion**, with margins holding steady near **34.7%**, consistent with the company's historical profitability profile. Contribution margins have shown a steady upward trend, improving from **41.8%** in 2021 to **46.9%** in 2025, underscoring Apple's durable pricing power and favorable product mix shift toward higher-margin services.

Growth Drivers

The services segment remains the primary engine of margin expansion, with contribution margins projected to approach **50%** by 2027. SG&A efficiency is improving, with the ratio expected to decline from **6.6%** to **5.1%** over the forecast period. EBITDA margins are projected to expand significantly to **44.8%** by 2027, well ahead of historical levels near **34%**, suggesting meaningful operating leverage as services scale.

Outlook and Valuation

Forward estimates project revenue growing at a **3.3%** CAGR through 2027, reaching approximately **\$481.7 billion**, with EPS advancing to **\$8.93**. The stock currently trades at a forward PE of approximately **32.4x**, a premium to historical averages, though the multiple compresses to **29.2x** on 2027 estimates. Relative to peers, Apple's

EV/EBITDA of roughly **27.0x** sits above Alphabet at **21.2x** but broadly in line with Microsoft. Competitive pressure from Alphabet and Microsoft, both displaying faster EBITDA growth trajectories, warrants monitoring. We maintain a constructive view contingent on continued services momentum and AI integration progress.

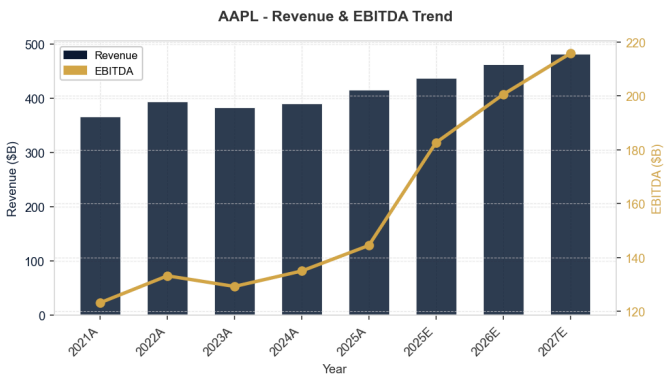
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$416.16B
EBITDA (2025A)	\$144.43B
Revenue Growth (2025A)	6.4%



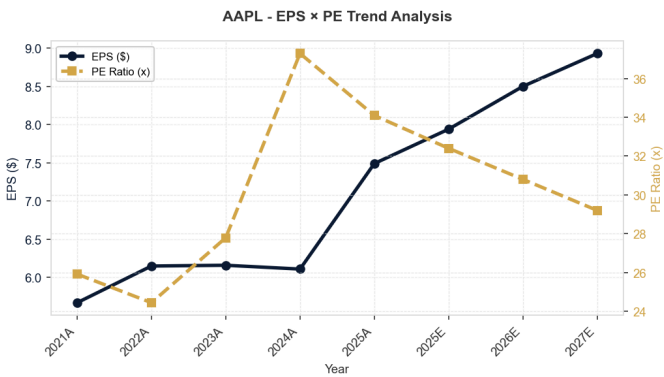
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	7.49
PE Ratio (2025A)	34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately **34.1x** based on 2025 actual EPS of \$7.49, with forward estimates declining to **32.4x** in 2025E, **30.8x** in 2026E, and **29.2x** in 2027E as earnings continue to grow. The EV/EBITDA multiple stands at **26.97x** on 2025 actuals, reflecting a premium valuation relative to historical levels. Notably, projected EBITDA margins are expected to expand significantly from the historical range of **33.7%** to **34.7%** toward **41.8%** in 2025E and **44.8%** by 2027E, which would meaningfully support the current premium if realized. Revenue is projected to grow at a modest **3.3%** CAGR through 2027, with EPS reaching \$8.93, suggesting earnings growth is being driven more by margin expansion and capital returns than top-line acceleration.

Peer Comparison

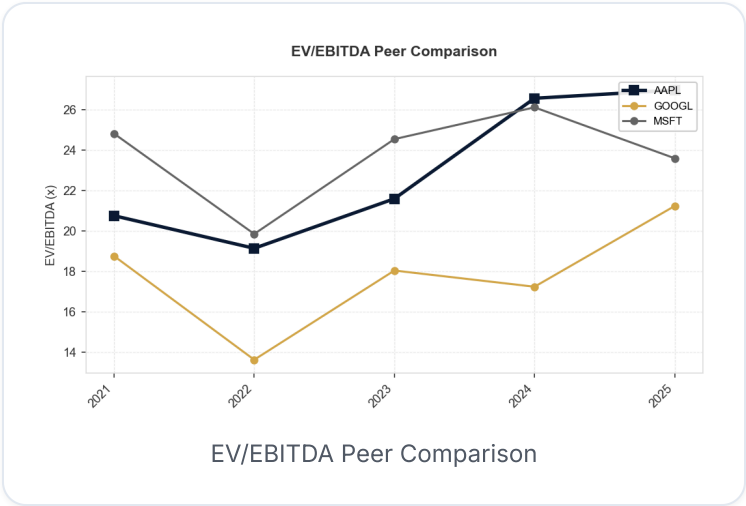
Relative to peers, Apple's EV/EBITDA of **26.97x** compares to Alphabet at **21.23x** and Microsoft at **23.60x** in 2025, placing Apple at a notable premium to both. This premium is difficult to justify on growth alone, given that Alphabet's EBITDA is projected to reach **\$210.7 billion** in 2026 versus Apple's **\$150.4 billion**, reflecting stronger absolute earnings momentum at a lower multiple.

Fair Value Assessment

Based on a blended forward EV/EBITDA of approximately **24x** to **25x**, which better reflects peer parity, and applying this to 2026E EBITDA of roughly **\$200.6 billion**, Apple's implied enterprise value suggests modest downside risk from current market pricing. The stock appears fairly to slightly overvalued at current levels unless the aggressive margin expansion embedded in forward estimates is fully achieved.

Peer Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary

Apple heads into its Q2 fiscal 2026 earnings report with considerable momentum and multiple catalysts drawing investor attention. Analysts broadly expect strong results driven by iPhone 17 shipment volumes, with new Mac and iPad launches providing incremental upside. The Services segment continues to be a standout performer, growing **14%** year-over-year to **\$30 billion** in Q1 2026, supported by a **36%** rise in Apple TV+ viewership, expanding sports rights, and Apple Arcade surpassing 200 games. This aligns with the financial data showing EBITDA margin expansion toward **43.3%** in 2026 estimates, a meaningful step up from the **34.7%** reported in 2025.

Beyond near-term earnings, Wall Street is closely monitoring Apple's CEO succession planning, which introduces an element of leadership uncertainty that could weigh on sentiment despite otherwise solid fundamentals. On the product side, Apple is reportedly planning a significant AI-driven overhaul of its camera

and photo-editing capabilities within iOS 27, reinforcing its Apple Intelligence platform strategy and competitive positioning in the AI consumer space.

From a valuation standpoint, Apple trades at a forward EV/EBITDA near **27x**, at a premium to Alphabet but broadly in line with Microsoft. Revenue is projected to grow at a modest **3.3%** CAGR through 2027, while EPS is expected to climb from **\$7.49 to \$8.93**, suggesting margin-driven earnings expansion rather than top-line acceleration.

Retail sentiment is mixed, with Reddit notably bearish at **27%** bullish while X.com shows **73%** bullish sentiment, reflecting a wide divergence in investor opinion. The overall buzz score of 76.3 signals elevated attention heading into earnings, making the report a key near-term catalyst for the stock.

Retail Sentiment Insights

AVERAGE BUZZ 76.3/100	BULLISH AVG 49.3%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 74.3/100 Bullish 27.0% Mentions 976 Trend rising	X.com Buzz 84.0/100 Bullish 73.0% Mentions 2743 Trend falling	Polymarket Buzz 70.6/100 Bullish 48.0% Trades 1861 Trend falling	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: **5.0%**
- 2025E EBITDA Margin: **41.8%**
- 2026E Revenue Growth: **6.0%**
- 2026E EBITDA Margin: **43.3%**
- 2027E Revenue Growth: **4.0%**
- 2027E EBITDA Margin: **44.8%**

Confidence Intervals:

- Revenue: **\$340.1B - \$623.3B (95% confidence)**
- EBITDA: **\$152.4B - \$279.3B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: ±5% change in growth rate
- Margin sensitivity: ±2% change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$340.1B — \$623.3B
EBITDA	\$152.4B — \$279.3B

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- **Earnings** (2026-04-29): Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
Impact: HIGH, Probability: **95%**
- **Market** (2026-04-29): AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
Impact: LOW, Probability: **50%**
- **Earnings** (2026-04-29): Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
Impact: HIGH, Probability: **95%**
- **Product Launch** (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
Impact: MEDIUM, Probability: **70%**
- **Product Launch** (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
Impact: MEDIUM, Probability: **70%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Apple: Tim Cook Exits At The Top
Impact: HIGH, Probability: **95%**

Events to Monitor

- Here's How Much Apple Stock Is Expected to Move After Earnings (2026-04-29)
- Why a Tech Behemoth Just Bet **\$750 Million** on the Future of Racing (2026-04-29)
- Apple Stock Poised for **21%** Surge (2026-04-28)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?

▲ **EARNINGS** Impact: medium

Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth

▼ **EARNINGS** Impact: medium

Apple: Tim Cook Exits At The Top

▲ **EARNINGS** Impact: medium

Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat

▲ **EARNINGS** Impact: medium

The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Positive Catalysts

- ✓ Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- ✓ AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- ✓ Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Risk Factors

- ⚠ Apple: Tim Cook Exits At The Top

Technical & Advanced Analysis

Technical Overview — AAPL

Current Price: **\$270.17** | 52-Week Range: **\$193.25 - \$288.62**

Overall Technical Signal: **Bullish**

Moving Averages Bullish
SMA 50: **\$260.69** | SMA 200: **\$254.52**

RSI Bullish
RSI (14): **60.6** — Bullish momentum range.

MACD Bullish
MACD: **3.71** | Signal: **3.10** | Histogram: **0.61**

Volume Normal
Latest: **28.2M** | 20d Avg: **40.7M** | Ratio: **0.69x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AAPL	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B	\$150.4B
GOOGL	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B	\$210.7B
MSFT	\$85.1B	\$100.2B	\$105.1B	\$133.0B	\$160.2B	\$188.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025
AAPL	20.8	19.1	21.6	26.6	27.0
GOOGL	18.8	13.6	18.0	17.2	21.2
MSFT	24.8	19.8	24.5	26.1	23.6

Analysis

Apple Inc. Competitor Analysis

Apple operates in an intensely competitive landscape dominated by large-cap technology peers, most notably Alphabet (GOOGL) and Microsoft (MSFT). While all three companies generate substantial EBITDA, meaningful differences in growth trajectories, valuation, and operational efficiency are beginning to emerge.

From an absolute EBITDA standpoint, Apple led the group through 2023, but Alphabet and Microsoft have since surpassed it. By 2025, Alphabet generated approximately **\$180 billion** in EBITDA compared to Apple's **\$144 billion**, and Microsoft reached **\$160 billion**. Looking ahead to 2026, both peers are projected to extend this lead further, with Alphabet approaching **\$211 billion** and Microsoft **\$188 billion**. Apple's comparatively modest EBITDA growth reflects its heavier reliance on hardware revenues, which carry lower margins and face more cyclical demand than software or cloud-driven business models.

On a valuation basis, Apple trades at a premium EV/EBITDA multiple relative to Alphabet. In 2025, Apple's multiple stood at approximately **27.0x** versus Alphabet's **21.2x** and Microsoft's **23.6x**. This premium is difficult to justify on growth or margin grounds alone, suggesting the market is pricing in brand loyalty, ecosystem stickiness, and the long-term potential of Apple's services segment.

Apple's contribution margin has steadily improved from **41.8%** in 2021 to nearly **47%** in 2025, signaling positive mix shift toward higher-margin services. However, until services revenue becomes a larger share of the total, Apple will likely continue to face pressure justifying its valuation premium against peers whose core businesses are increasingly software and AI-driven.

Risk Factors

Apple Inc. (AAPL) — Key Investment Risks

- **Decelerating Revenue Growth & Concentration Risk:** Apple's historical revenue CAGR of 3.3% reflects slowing momentum, with a notable contraction of -2.8% in 2023. Heavy dependence on iPhone sales (~50%+ of revenue) leaves the company vulnerable to smartphone market saturation and consumer upgrade cycle fatigue.
- **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 41.8% (2025E) and 44.8% by 2027E — a ~10 percentage point expansion that appears optimistic relative to the flat 33.7%–34.7% historical range, creating meaningful downside risk if operational efficiencies fail to materialize.
- **Intensifying Competitive Pressure from Peers:** Google and Microsoft are growing EBITDA significantly faster — GOOGL's EBITDA surged from \$144B (2025) to a projected \$211B (2026), while Apple's trails at \$150B — suggesting Apple risks losing ground in AI-driven ecosystems and cloud services where competitors are scaling aggressively.
- **Premium Valuation Leaves Limited Margin of Safety:** Apple's EV/EBITDA of ~27x in 2024–2025 trades at a premium to GOOGL (~17–21x), despite slower growth, making the stock particularly sensitive to earnings disappointments or multiple compression in a risk-off environment.
- **Geopolitical & Supply Chain Concentration Risk:** Significant manufacturing dependence on China exposes Apple to escalating U.S.-China trade tensions, potential tariff impacts on cost of operations (~\$221B in 2025A), and supply disruption risks that could pressure the modest gross margin improvements embedded in forward estimates.

Key Takeaways

Apple Inc. (AAPL) — Major Financial Takeaways

Revenue Growth

Apple's revenue growth has been modest but consistent, with a **3.3%** CAGR from 2021–2027E, recovering from a **-2.8%** contraction in 2023 to a **6.4%** rebound in 2025A. Growth is projected to remain steady at 4–**6%** annually through 2027E, reflecting a maturing but resilient business model.

Gross Profit Margin

Apple's contribution (gross) margin has demonstrated a strong and consistent upward trajectory, expanding from **41.8%** in 2021 to **46.9%** in 2025A, with estimates reaching nearly **50%** by 2027E. This sustained improvement signals Apple's continued shift toward higher-margin services and software revenue streams.

SG&A Expense Margin

SG&A as a percentage of revenue has been well-controlled, peaking at **6.7%** in 2024A and declining to an estimated **5.1%** by 2027E, reflecting improving operational efficiency and disciplined cost management. This compression in SG&A margin is a meaningful contributor to Apple's overall profitability expansion.

EBITDA Margin

Apple's EBITDA margin is projected to expand significantly from a relatively stable **~34%** range (2021–2025A) to an estimated **44.8%** by 2027E, suggesting a notable step-change in profitability. However, this projected acceleration warrants scrutiny, as it meaningfully outpaces Apple's historical margin trajectory and its peers GOOGL and MSFT.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	-	7.8%	-2.8%	2.0%	6.4%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
EBITDA/Int Exp	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.1	0.9	1.0	0.9	0.9
Cash Flow to Debt Ratio	0.76	0.92	0.89	0.99	0.99

AI4Finance Foundation FinRobot Equity Research

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. Our firm accepts no liability whatsoever with respect to the use of this document or its contents.

Data: Company Filings, FMP, Yahoo Finance, AI4Finance Estimates · Generated: 2026-04-29 23:32